FALLEN EMPIRES

Scrub Daddy: the Shark Tank deal sheet

The deal (sourced)

- Episode: Shark Tank season 4, episode 7, aired October 26, 2012 (Wikipedia, Shark Tank season 4).
- The ask: $100,000 for 10% of the company, a $1 million valuation (valuation = amount ÷ share).
- The deal: Lori Greiner, $200,000 for 20%, the same $1 million valuation (Forbes 2016, via Wikipedia). Some sources cite different terms; this sheet uses the best-sourced one.
- The company today: private, headquartered in Pennsauken Township, New Jersey.

The numbers over time

- March 2014: sales of $18 million (ABC News, March 20, 2014).
- January 2017: total revenue above $100 million, then the highest-earning Shark Tank product (Bon Appétit, January 12, 2017).
- May 2023: 257,000 retail locations, 160 products and more than $926 million in lifetime retail sales (Shark Tank season 14, episode 13, via Investopedia).
- 2023: more than $220 million in sales, a figure given by the founder, not audited (Fortune, February 2, 2024).

3 things the story shows

1. A product that explains itself in one sentence is easy to sell on television.
2. Demand was proven on QVC before the company scaled.
3. The partner brought the skill the product needed: selling and getting onto shelves.

2 mistakes to avoid

1. Great product, almost no sales: about $100,000 in roughly 18 months before the show (reported). A product without a sales channel can sit in a box.
2. Selling through retail means sharing every sale with the stores, and a partner who owns 20% shares the upside.

Glossary

- **Valuation**: what the whole company is worth, implied by the price of a small slice.
- **Equity**: a share of ownership in exchange for money.
- **Retail sales vs revenue**: retail sales is what shoppers paid in stores; revenue is what the company itself earns.

This is an educational summary of public sources, not investment advice.

Sources

- https://en.wikipedia.org/wiki/Scrub_Daddy
- https://en.wikipedia.org/wiki/Shark_Tank_season_4
- https://abcnews.go.com/blogs/business/2014/03/sponge-soaks-up-shark-tank-success-sales-balloon-to-18m
- https://www.bonappetit.com/story/scrub-daddy-sponge-shark-tank-review
- https://www.investopedia.com/articles/investing/082415/10-most-successful-products-shark-tank.asp
- https://fortune.com/2024/02/02/scrub-daddy-founder-interview-shark-tank-success-story

Free guide from Fallen Empires. Information only, not financial, legal or medical advice.